Michael Burry Says This Is The Top — Is It?

Podcast: prof G markets

AI Executive Summary

Core Thesis The global economy is currently navigating a period of extreme tension between record-breaking market performance and growing structural vulnerabilities. While fundamental indicators like US employment and credit quality remain strong, significant systemic risks are emerging from two fronts: the dangerous concentration of Big Tech's AI revenue within a few highly vulnerable startups (OpenAI and Anthropic), and the escalating complexity and unpredictability in global supply chains caused by volatile tariff regimes and geopolitical instability in key maritime corridors.

Key Arguments & Data * Market Sentiment and AI Concentration: * Despite "AI anxiety," major US indices (S&P 500, Nasdaq) have reached record highs, supported by strong employment and benign credit statistics. able to predict a "1987-style" crash via shorts on Nvidia, Tesla, and the semiconductor index. * **Revenue Concentration Risk:** A massive portion of Big Tech's AI growth is dependent on just two companies: 70% of Microsoft's AI revenue comes from OpenAI; roughly 75% of Amazon's AI revenue is linked to OpenAI and Anthropic; and approximately 75% of Google's cloud-specific AI revenue follows a similar pattern. * **The "Unwind" Trigger:** The AI trade is vulnerable to a potential price war—likely driven by cheaper Chinese models—that could destabilize the heavily loss-making business models of OpenAI and Anthropic, subsequently crashing the CapEx-driven valuations of Microsoft, Amazon, and Google. * **Shifting Capital Dynamics:** The AI era has turned once cash-rich companies (Microsoft, Google, Amazon) into capital-intensive entities with significantly higher depreciation costs and potentially negative cash flows due to massive infrastructure spending.

- **Supply Chain and Trade Volatility:**
  - **Tariff Unpredictability:** The primary threat to importers is not necessarily high rates, but extreme volatility; the US tariff code saw 53 changes in a single 52-week period, leaving companies with almost no planning time.

- **Compliance Burdens and Refunds:** There is an estimated $166 billion in owed tariff refunds, yet many are delayed because importers used "shortcuts" or lacked the granular data (such as the specific "country of smelt" for steel/aluminum) required by new, more complex regulations.
- **Geopolitical Disruptions:** The Strait of Hormuz is effectively seeing a collapse in container ship transit; ships are increasingly routing around the southern tip of Africa to avoid Red Sea threats, which has spiked insurance costs by 10% to 15% per voyage.
- **The Rise of Traceability Requirements:** Global regulations (such as EU anti-deforestation laws) are moving toward hyper-granularity, requiring companies to provide GPS coordinates and specific sub-component origins, creating a massive technological burden on traditional supply chain management.

Actionable Takeaways * Monitor AI "Moat" Stability: Investors should look beyond the top-line growth of Big Tech and specifically monitor the pricing power and margin stability of OpenAI and Anthropic. Any sign of an aggressive price war in Large Language Models (LLMs) should be treated as a leading indicator for a broader tech sector correction. * **Invest in Data Infrastructure for Compliance:** For importers and exporters, the era of "simple" customs filing is over. Companies must prioritize investment in advanced database technologies and automated tracking systems to manage the increasing demand for granular product origin data and to avoid the legal and financial pitfalls of incorrect tariff filings. * **Hedge Against Logistics Volatility:** Businesses should adjust long-term logistics planning and pricing models to account for "complexity costs"—specifically the increased transit times caused by bypassing high-risk maritime zones (like the Red Sea) and the administrative overhead of increasingly stringent environmental and trade regulations.

Full Transcript

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Find episodes every Sunday wherever you get your podcasts. Welcome to ProfG Markets. I'm Ed Elson. It is August 6th. Let's check in on yesterday's market vitals. The major indices were mixed after a series of highs. More on that in a second. Brent Crude was relatively stable. Treasury yields were flat. And finally, Google shares fell nearly four percent on news that DeepMind's chief scientist is leaving and its CEO, Demis Hassabis, is stepping aside. OK, what's happening? The S&P 500 just hit another record. The fresh intraday high yesterday followed Tuesday's performance in which the index rose nearly 2% to its first record close since June. The Nasdaq also gained nearly 3% that day and the Dow crossed 54,000 for the first time. Across the markets, it seems as though investors have shaken off the AI anxieties that have defined much of the past month. But...

Someone isn't buying it, and that is Michael Burry. In a note on Tuesday, the investor who called the 2008 crash said he's sticking with his bets against Nvidia and Micron and Tesla and Palantir and the Semiconductor Index. He said, quote, I continue to believe it is possible we are near a major top, adding that we could see, quote, a 1987 type four. Now investors are left wondering who's right. The Bears or the Bulls. Here to discuss, we're speaking with Steve Eisman, the legendary big short investor and host of the Real Eisman playbook. Steve, thank you for joining us on ProfG

Markets. You are one of the other guys who called the 2008 crash, one of the other guys in that movie. I'll be on our tombstone. There's no question about it. Exactly. I mean, what do you make of this market right now? Because I thought we were all worried about AI, worried about the debt, worried about the reliance on a handful of AI labs. But we're sitting at record highs. So what is the market actually telling us right now? Number one, the US economy is very strong. You know, all the banks reported mid-month in July, and the credit statistics were as benign as they possibly could be. So there's no credit issues in the U.S. economy overall. It's a strong M&A cycle. The IPO calendar is not bad, and there's no question there's still a K-shaped economy. But, you know, if you look at the numbers of Visa and MasterCard, the overall payment volumes are quite robust. We do see things like the K-shaped economy would be like in a company like Procter & Gamble who has no revenue growth. But, you know, that's not what's driving the economy. Right now, You know, things are fine. You know, despite all the hysteria about AI is going to destroy every single job on planet Earth, the employment numbers are still very, very strong. I think that's why the market keeps going higher, because things are just okay. Now, I do think that the AI story has gotten a lot more complicated. You know, if you and I were sitting here a year ago, You'd be hard-pressed to find anyone who had anything negative to say. You know, maybe someone like Gary Marcus who has been on my show, but he's probably been on your show as well. I love Gary. You know, Gary has a lot to say and it's all great. But Gary was like the lone, you know, July of last year. Gary Marcus was like the only person on planet Earth who had anything negative to say about AI. You know, you have Ed Zitron as well. But, you know, if you compare this to 08, Michael and I both had the same thesis, which was mortgage underwriting standards have deteriorated dramatically. Then what was good about the thesis was every single month, securitization data came out showing credit quality of hundreds and billions upon billions of mortgages.

And so you could see, you could actually see the deterioration every single month. You had a data set that was incredibly robust that came out every single month and said to you, you're right. So you had this reinforcement. If you're gonna construct a negative AI story, Well, you don't have a securitization database that's going to help you. So what's the negative

story? So let me tell you what I think is potentially the negative story, but it's not here yet. So what's made the AI story more complicated is the following. Number one, there's no question that the business is much more capital intensive than anybody. possibly could have imagined. So companies like Microsoft and Google and Amazon, companies who once threw off cash like it was water have negative cash flow. So that's a big change. Now, that doesn't mean that these companies are on the verge of anything bad. It just means that the dynamics of their business has really shifted. They're investing massively, whether they'll get great returns, we don't know yet. But that's one big change. And I think the other major change is that the LLM agentic AI business, which is really anthropocon-opened AI and really just a few other people, doesn't seem to have any moats around it because people switch from models to models. And now you have the open-end models from China, which are much cheaper.

and people seem to be switching to, and so maybe there'll be a price war, maybe not. Where I think the chink in the armor potentially is, I read this report that basically said something like 70% of Amazon and Google's and Microsoft's AI CapEx businesses are from open AI and Anthropic. So if Now here, this is what I'm looking for. If a massive price war broke out because of the Chinese models and open AI and then FOPIC got in big trouble, that would unwind a lot of the AI trade because then open AI and FOPIC would not be able to spend as much, which would mean that fewer chips would be bought. You could figure out the rest. But until that happens, You know, these companies are keep spending money like it's water. So, you know, Nvidia is going to report on I think August 26th. I mean, it has to have a good quarter. How could it not have a good quarter when Amazon is spending 225 billion this year on CapEx? So until we see real weakness, I think out of open AI and Anthropic, I'm not on Burry's side. Well, this is very interesting because As you mentioned, we're seeing more numbers on the reliance on open AI and anthropic, at least among the big tech companies. Just today, Bloomberg reporting.

in their own analysis that 70% of Microsoft's AI revenue is coming from open AI. A company which, of course, Microsoft had invested in. So I think it's a fair thing to say that Microsoft is investing money in open AI and the money is coming back to them in the form of their AI revenue, which

literally is most of their entire AI business. You brought up an important point. If we see a price war, come into play, if anything goes wrong for open-eye and anthropic, both of whom are losing billions of dollars, then the whole thing unwinds. Losing billions is a euphemism. If only they were just losing billions. Right. Losing a lot more than that. So, I mean, the question to me is, how likely is that if? To me, it's quite likely at this point.

To me, it seems as though the signs are going in that direction. And at the very least, I would expect the likelihood of that if to be priced in to some extent. But when I see the S&P trading at record highs. Markets don't work that way. I mean, the news is still, the economy is still good. If there is a price where the market's going to have to have it head over the head by two by four. because it's been a bull market for so long and everybody just buys every tip. In other words, it's purely reactive at this moment versus proactive and predicting what might happen. It's not going to be proactive at all. You know, Michael is trying to anticipate. God bless. He's got more guts at this point than me because I just think it's, for me, it's premature. I'm waiting if it does happen. And I mean, you think it's very likely.

I wouldn't necessarily disagree, but it could be a year from now. So that's the thing. I mean, if it's two months from now, that's one thing. If it's a year from now, then all these companies are going to be spending money like they've been spending money, and it's the same story. So assuming that Anthropic and Open AI do get into trouble, the operative question, the real question is, Wait, how long is it going to take? I certainly don't have an answer to that question, and I don't think anybody else has an answer to that question at this point. To what extent do you think that other investors on Wall Street, to what extent do you think the market is asking the question?

No one has an answer. I don't have an answer. You don't have an answer. But you and I seem to be asking that question at the very least, which is instilling a little bit of a sense of hesitancy or at least anxiety around the whole ecosystem. Do you think that people are asking the question or is it the numbers are just too exciting? No one cares. I wish I could answer that question. It'd be nice if we could all get all the investors a room and do a little group therapy and then we could have an answer. Take a survey. Otherwise, I don't know. I just don't know. One thing that I'm even a little

surprised about is the fact I thought that when the 10-year climbed above 4.5%, that could be a demarcation line. If the market's going to get a correction because of rates, I think the 10-year's got to go probably above 5%. So it's definitely a bull market. Things get shaken off. I'm surprised by the fact that I thought meta numbers last week were hellacious, just awful. And the stock went down for one day and climbed back up. Which part of their numbers were you most concerned about the spending? Two sets. So one was 28% revenue growth, which is fine, 55% expense growth, and then 785 million in free cash flow. Yeah.

which is basically nothing. A company like I was describing before that used to throw off cash like it was border now has no free cash flow. None. And the other thing, when you dig into the numbers, which was interesting, is the depreciation of the chips is starting to hurt. I think it was something like six billion in the quarter up from like... four billion, maybe three months ago. I could be off, but not provide that much. But what's starting to happen is all that CAPX, which went on the balance sheet, is now starting to roll through the income statement. And that's going to be a wait on them for years. If you had to think about how this will play out over the next several months or so, I mean, Burry is saying this is the top. Or he's saying it's possible that this is the top. I don't know how he could say that.

I mean, you could say it, but I don't really know how you could say it. I mean, there's no, again, it's not like subprime when we had the securitization data where he and I both had the second securitization data. There's no, he doesn't have a data point that you and I don't have. So if he had some evidence that there was a price war breaking out on between Enfopic and OpenAI and the Chinese models, I'd say, okay, that's a very important data point, and he's got a point. But otherwise, I just think he's, with all due respect to him, the thing's just putting a finger in the air and saying, okay, let's give it a shot. And maybe it'd be right. But I don't think he has any data that he could point to. I mean, like I said, bank credit quality was great. Employment data is very strong.

You know what what data point can you point to right now that would say this is it? What would you want to see if you were to call a top in that regard? What would you be needing to see you hinted at it with some of the

pricing data? Yeah, again, I need a price war I need a price war in in the LOM world and until we don't get until we have that It keeps going up until we have that things will continue to I think go on kind of the way they have all right Steve Eismann host of the real Eismann playbook Steve We always appreciate your perspective. Thank you so much. It was a pleasure to see you again.

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especially is just like really difficult to understand. We've had so many different peace deals and last chances already that it's It's hard to really get a sense for like how that's going to play out. My predictive powers on that are not that great. On the tariffs piece, also we have quite a bit of uncertainty, although I would argue a little bit more than we had before these Section 301 tariffs came out. Because, well, they are going to go and get challenged, as you mentioned, in the states too, and there's a lot of other lawsuits as well. The Section 301...

tariffs have a longer track record of surviving these lawsuits. There's a bit more process behind them. IEPO is kind of like a really blanket authority that as the president interpreted it, where he could just wake up on the wrong side of the bed and somebody pissed him off and just like throw a tariff at a country. And Section 301 requires a lot more process. And they've gone through that process. They've created these commerce department, excuse me, has done these studies to say, This or that country, the sector, it's been a lot more detailed, a lot more thoughtfulness, let's call it. So they're more likely to stand. I thought IEPA was always a little bit, most people thought it was on pretty shaky ground. So that's a bit on the tariff side of things. It's a whirlwind if you're out there as an importer or exporter trying to deal with all this. Yeah. How does it affect freight and logistics? If you have a tariff regime and you don't really know what's going to happen the next day and then say it does happen.

Like, does that mean that suddenly you're paying those tariffs? Is there a lag time? To what extent does the confusion of all of this actually impact the movement of goods around the globe? It is about the uncertainty and it's about the rapid changes as well as high rates. Now, I'd probably like separate those. The last year we had both, right? Like high, really high at some point tariff rates, I forget. It was like 145% on China for like a few weeks. They remain pretty high on China, but so there's the high rates piece, but they're much lower now. Even these section 301 were either like 10% or 12.5%, depending on the country. And that's kind of a manageable rate is what importers are saying. Like if it stays there and it's stable and predictable, then They're pretty good. Last year, you had both. You had both high rates and a lot of unpredictability. So in 2025, there were 53 changes to the tariff code in 52 weeks throughout the year. So it was like complete

chaos. Some of these things were implemented with no notice. In fact, this one was done with almost no notice because section 122 ended on July 24th at midnight and this one kicked in at 12.01 a.m.

and they announced it just a few hours before that. So very little planning time. And the way that manifested itself was just like a lot of mistakes were made that companies filed the wrong, paid the wrong amount, filed the wrong duty amount. Then when it comes to getting refunds have like struggled to get the, you know, they got the refund because of Supreme Court and those have started to flow out of the 166 billion of refund that's owed from the IEPA tariff. 122 billion are in process right now. I don't actually have the figure from the government about what's been paid, but there's a lot in that 122 bucket that aren't getting paid out or heavily delayed in part because it was so difficult to comply that if you filed wrong, you're not, yes, you'll get a refund, but you have to go through this whole legal process to first correct your entry.

And then you can get a refund. So people are definitely dealing with the repercussions of like not having their data organized, not having filed correctly. I think it's one place, you know, plugged for my own company where we as being a technology company and having databases for managing this, it's giving us a real leg up and helping companies get it right. Well, this is what I was going to ask you about is the tariff refund process. I mean, we know from US customs and their reporting, which they had to give over to the courts because of all of the lawsuits is that apparently the administration has issued 100 billion in tariff refunds since the Supreme Court ruling. But to your point, this is one of the things that you guys specialize in. You actually have a tariff refund calculated to help people figure out how to pay the tariffs or get the tariff money back.

and actually recover those refunds. I mean, where are we in the refund process? It sounds like it's a little bit of a shit show, but maybe that's too aggressive. Well, I would get the government some credit here. I actually thought they'd done a pretty good job. They built this system called CAPE, which is sort of an attachment or a module on top of the primary technology system of Customs, of Customs Border Protection. They shipped it in just about two months or so, two or three months that it took them to build it,

which in the scheme of government building technologies, like quite a feat actually. If you go back and see the government technology system for customs, it's called ACE, Automated Commercial Environment. And it was like this 10 to 15 year debacle to deliver the piece of software. So for them adding a module that's as high stakes and complex as like refunding 100 billion, 166 billion in just a few months is To my view, as a technologist, it's pretty good. I'm kind of impressed. Where the problems are coming about are actually less because of customs. It was actually because of shortcuts that the broker, the customs brokerage and the importing community, these businesses took too many shortcuts. So like when you're filing, especially where you see the pain right now where people are not getting refunds, because you said it was 100 billion. I hadn't seen that stuff, but yeah, that sounds about right. The 122 have been filed for. And then there's 44 or so, 42 billion more.

somewhere around there that are not yet eligible. They're gonna be a later process for those types of refunds. But so there's still 20 billion that have been filed for and have not been refunded. And what those are is a lot of that is steel and aluminum where people made a mistake. So there's these steel and aluminum duties that were unique in the US customs landscape. Historically, you would only need to know three things to know how much customs duty you owed. It was the value of the goods, what country of origin are they from, and their HS code, the classification of the code. If you had those three things, you spit out a duty, you know how much you're owed. Now, with the steel and aluminum duties that Trump put in last year, you now have to know of that, it's not enough to know the classification of the goods. You gotta know of this object, what percent of the value is steel and aluminum.

And then you need to know the country of smelt. Where was that seal and aluminum made or cast or smelt, depending on how it was made. So companies didn't have that data. And if they did, they were not very good at like breaking it out in a way that could be stored and could be audited. And so a lot of them kind of faked it. What they would do is say, well, okay, it's 25%. And there's this field when you're, it's pretty technical. So forgive me, forgive me audience out there if I bore you on this, but there's a field where you transmit the duty amount that's owed. And a lot of people just put the

number in there and sent it to the government. And they might've got it right in terms of the duty amount owed, but they were supposed to break out the percent aluminum.

And you only pay, so the steel and aluminum duties, you're only supposed to pay that higher duty amount on the valuation, on the percent of the goods that's made of steel and aluminum. But these people, they even fat finger it, they were just shortcutting it. So now when you go to get a refund, you can't get a refund on that entry until you go back and clean up the process. And so it's just like a good example of like, honestly, this stuff's not hard if you have a good database in place and you understand the rules, you can do it, but. It's a new field. It took a lot of the customs brokerage community still hasn't been able to add this database field to their software system. So it's kind of you're seeing the pain of an industry that just hasn't embraced technology. It's just fascinating though to hear all of the complications. And yeah, I guess all of the details technically are boring. But what it tells me is that we have invented so much such an incredible network of complexity. And I don't see what we've even done it for. I mean, this isn't to collect tariffs. This is to give tariffs back. This is to undo all of the complexity that was originally put in place in the first place. I think that's actually a really good point is that in some level there's this compliance burden.

that is as high as the tariff burden. I think the direction you're going to go, the direction things seem to be going in the U.S., but also in Europe and other areas, is that the governments want way more data about what's crossing borders. They want to know in that steel and aluminum example, where are these, what is it made of? Not just the overall classification of the products, but like what percent of that product is steel and aluminum? Where is that from? And you're going to get to a point where what they want is they want to know that for every item. What is this thing made of? Where is each of those subcomponents coming from? Modern supply chains are incredibly interlinked complex global structures. Keeping up with all of that for a company is really hard because you buy something, you buy an object and you put it in your component, you put it in your product, but that component has subcomponents that come from different countries. You don't know. Now it's tracing this back to tier one, tier two, tier three suppliers.

I mentioned, it's not just the United States. I mean, these regulations are increasing. Europe now requires when you import wood, you have to be able to show the GPS coordinates of where the tree was grown. So they can for anti deforestation. I mean, I think that's a noble cause, but you now need to be able to show where was the tree grown. And then you need a receipt from the trucker to show that this truck did in fact pick the goods up at that. at that forest and bring it to this sawmill. And they want to see that leg monitored. And so that's the trend of where things are going. And importers and exporters need to get ahead of this with good database technology to track it all. And you want that database to be networked so that other people can contribute and add to it, et cetera. So I think, I mean, from a flex board standpoint, it's like positioning ourselves. We feel like we've made the right bets technology-wise to help people manage this. But it is a beautiful, as a, Kind of a free market guy. I could see the burden that this puts on companies. And there comes a point when you're like government, like, maybe you should charge me a couple percent more tariff and not make me do all that stuff. Like what is it you're trying to achieve? It's not obvious. We're just getting in our own way with ever more complexity and no real purpose. It seems like from my perspective, I'm gonna have to let you go in a moment. But before I do, I just need to get your views on what's going on in the Strait of Hormuz. Is it closed?

Is it open? If so, how open? What do we actually know? On the container shipping side of things, it's pretty much you can call it closed. There's like one or two transits a day, and it was at peak, it was almost 100. So it's really not like very little container shipping is happening there. The tanker is also way, way down, although there are more tankers transiting than container ships, I guess more valuable to those economies. It's kind of a, And my world is container shipping, but in the container shipping world, it's sort of a backwater. Although Jebel Ali is the ninth largest container port in the world that's in Dubai, or it was before this war. It's basically that way because it's a trans shipment hub, like lots of ships bring containers there to be, you think of a hub in a hub spoke network. And that traffic is all.

Moved elsewhere. They're doing the route those trans shipments elsewhere lot in India And of course they're all routing around Africa. The Red Sea has been closed since really since December of 2023 almost all container

ships are routing around the southern tip of Africa rather than going to Red Sea because of the Houthis, which are in Iran linked to proxy groups. So there's no end in sight to this. I think hopefully there's a peace deal, but even that, I'm not sure that it gives enough reassurance because we've had these fits and starts, we've had peace deals, and then the next day you've had ships get attacked. So I don't know that that's going to calm the insurance markets. It's costing about 10 to 15% of the value of the ship.

just to ensure it for one voyage through. And you think about that, it basically turns you, you know, it's hard. I don't even know how they underwrote that policy to be honest, because how do you know what's the odds of a ship getting hit? Is it 10% or not? I mean, it's a pretty catastrophic event, obviously. And it's not just the ship that gets lost, all that cargo, you might have a 200 million ship with a billion dollars of the merchandise on it that can go under. Ryan Peterson is the CEO and founder of Flexport. Ryan, always appreciate your time. It's official. The AI boom has become almost entirely dependent on open AI. As we discussed, new reporting from Bloomberg confirms that roughly 70% of Microsoft's AI revenue came from just one company last year. That company was, you guessed it, open AI. This would be concerning enough if it were just Microsoft, but it isn't.

Barclays estimates that 75% of Amazon's AI revenue is coming from open AI and Anthropic. UBS estimates that 30% of Google's cloud revenue comes from open AI and Anthropic. And if we were to convert that to AI specific revenue, well, then it would be roughly 75% as well. In other words, if open AI and Anthropic didn't exist, Big Tech wouldn't really have an AI business at all. And the reason that's bad is because big tech has literally bet the farm on one thing and one thing only, and that is AI. Now, you might tell me who cares? Because open AI and Anthropic do exist, so everything's fine. To which I would respond, yes, they do exist for now. Because keep in mind, open AI lost 21 billion last year. And as for Anthropic, we don't know.

But our estimates put that number at roughly 11 billion. So the only way these two companies stay alive is if they continue to be subsidized by someone else. And who is that someone else right now? Answer Big Tech. The more you dig in to the economics of AI, the more you realize that it is a

house of cards. And that doesn't mean that it is going to collapse. But it does mean that in order to not collapse, nothing can go wrong. Okay, that's it for today. This episode was produced by Claire Miller and Alison Weiss and engineered by Benjamin Spencer. Our video editor is Brad Williams. Our research team is Dan Chalon, Chris Nodonahue and Mia Silverio. And our social producer is Jake McPherson. Thank you for listening to Proficy Markets from Proficy Media. If you liked what you heard, give us a follow. I'm Ed Elson and tune in tomorrow for our conversation with the one and only Professor Aswath Damodaran.